

DAY 1

SKILLBUILDER 1

Generative AI vs Traditional AI in Customer Support

Task 1: Concept Understanding

1. What is Generative AI?

Generative AI is a type of artificial intelligence that creates new content such as text, images, code, or summaries by learning patterns from large amounts of data. Unlike traditional AI, which mainly classifies or predicts based on predefined rules or models, Generative AI can produce human-like responses and adapt to different user queries.

2. Two Customer Support Examples

- A chatbot that understands a customer's issue and generates a personalized troubleshooting response.
- An AI assistant that summarizes long customer conversations and drafts a follow-up email automatically.

Task 2: Comparison

1. Differentiate between: - Generative AI - Traditional AI (rule-based or predictive)

Generative AI	Traditional AI
Creates new content and responses	Follows rules or predicts outcomes
Learns language/data patterns	Uses predefined rules or trained prediction models
Dynamic, human-like replies	Fixed responses, labels, or predictions
Handles varied queries	Works best for known scenarios

2. Provide one scenario where traditional AI fails but Generative AI succeeds

A customer asks a complex question combining billing, technical, and account issues. A rule-based chatbot cannot match the query and replies 'I don't understand.' A Generative AI chatbot understands the context, provides a complete response, and asks follow-up questions if needed.

Task 3: Application Thinking

1. Suggest how Generative AI can improve chatbot responses

It provides natural, context-aware, personalized responses, maintains conversation flow, summarizes previous interactions, supports multiple languages, and reduces the need for human agents.

2. Identify one limitation of using Generative AI in this system

Generative AI may sometimes generate incorrect or misleading information (hallucinations). Therefore, important responses should be validated using trusted company knowledge or human review.